7-7 Financial Statement Reporting of Cash

Objective 7 - Describe and illustrate the reporting of cash and cash equivalents in the financial statements.

Cash is normally listed as the first asset in the "Current assets" section of the balance sheet. Most companies present only a single cash amount on the balance sheet by combining all their bank and cash fund accounts.

A company may temporarily have excess cash. In such cases, the company normally invests in highly liquid investments in order to earn interest. These investments are called **cash equivalents** (Highly liquid investments that are usually reported with cash on the balance sheet.) . Examples of cash equivalents include U.S. Treasury bills, notes issued by major corporations (referred to as *commercial paper*), and money market funds. In such cases, companies usually report *Cash and cash equivalents* as one amount on the balance sheet with an accompanying note on cash equivalents.

The balance sheet presentation for cash for **eBay** follows:

Link to eBay

eBay Inc.
Balance Sheet
December 31
(In millions)

Assets	
Current assets:	
Cash and cash equivalents.	$975

Notes to Financial Statements:

Cash and cash equivalents

Cash and cash equivalents are short-term, highly liquid investments with original maturities of three months or less when purchased, which may include bank deposits, U.S. Treasury securities, time deposits, and certificates of deposit.

Source: eBay, Form 10-K for a Recent Fiscal Year Ended December 31.

Business Insight

Managing Apple's Cash

Apple Inc. (AAPL) has investments and cash that total over $205 billion. This represents over 60% of Apple's total assets, and thus requires significant management attention. How does Apple manage these assets? Apple owns **Braeburn Capital**, a Nevada-based asset management company. Braeburn was established in 2006 for one purpose: to manage Apple's cash and investments. Braeburn operates under a veil of secrecy, and little is known about the firm. It is simply described as "Braeburn Capital Inc. is the asset management arm of Apple Inc. The firm invests in the public equity markets." Apple's financial statement footnotes provide some detail describing its holdings. More than $20 billion is incuded as cash or cash equivalents, such as money market funds. The remainder is divided between short- and long-term investments.

Source: Apple Inc., *Form 10-K for a Recent Fiscal Year Ended September 24.*

Banks may require that companies maintain minimum cash balances in their bank accounts. Such a balance is called a **compensating balance** (A minimum cash balance required by some banks to be maintained in a bank account.). This is often required by the bank as part of a loan agreement or line of credit. A *line of credit* is a preapproved amount the bank is willing to lend to a customer upon request. Compensating balance requirements are normally disclosed in notes to the financial statements.

Pathways Challenge

This Is Accounting!

Economic Activity

Bitcoin is a type of digital currency, called a cryptocurrency, that has gained acceptance from a number of investors, businesses, and consumers. Like the U.S. dollar, bitcoins are a medium of exchange, but unlike the U.S. dollar, they do not possess physical form, are not legal tender, and are not backed by a government. Overstock.com**, Inc. (OSTK)** is an online retailer based in Midvale, Utah, that accepts bitcoins as a form of payment.

Critical Thinking/Judgment

How should Overstock.com report its bitcoin holdings in its financial statements? How should Overstock.com value its bitcoin holdings?

Days’ Cash on Hand

Objective 8 - Describe and illustrate the use of days’ cash on hand to assess a company’s ability to meet its cash commitments.

Days’ cash on hand (A measure of how long a company could survive if its sources of revenue were to decline significantly, computed as cash and short-term investments divided by daily cash operating expenses.)
measures how long a company could survive if its sources of revenue were to decline significantly. A higher number of days implies a higher liquidity and is viewed favorably by creditors. However, a number of days’ cash on hand that is too high may indicate that the company has not invested cash back into the business or returned profits back to the owners. Days’ cash on hand greater than 50 days would be considered adequate for businesses.

Days’ cash on hand is calculated as follows:

$$\text{Days' Cash on Hand} = \frac{\text{Cash and Short-Term Investments}}{\text{Daily Cash Operating Expenses}}$$

The cash and short-term investments are taken from the year-end balance sheet and represent the most liquid assets. The daily cash operating expenses are computed from income statement information, as follows:

$$\text{Daily Cash Operating Expenses} = (\text{Operating Expenses} - \text{Depreciation Expense}) \div 365 \text{ Days}$$

Depreciation expense is subtracted from the operating expenses because it is a noncash expense. The net amount is divided by 365 days in order to convert the annual cash operating expense amount into a daily amount.

Days’ cash on hand is the number of days the daily cash operating expenses can be supported by cash and near-cash balances. It is a popular measure used by nonprofits whose revenues are based on contributions. It reveals how long the nonprofit could survive if contributions dropped significantly. It is also used by start-up companies to measure how long cash is available to support operations until revenues begin to be earned. The measure can be used to estimate how long a business could survive a catastrophic event, such as a software virus for an Internet company or a national health emergency for an airline.

To illustrate, the following information is provided from three recent annual financial statements for **eBay** (in millions):

	Year 3	Year 2	Year 1
Cash (end of year)	$ 975	$2,202	$2,120
Short-term investments (end of year)	1,850	2,713	3,743
Operating expenses	5,971	6,142	5,442
Depreciation expense	681	696	676

The days' cash on hand for all three years is computed as follows:

	Year 3	Year 2	Year 1
Cash and short-term investments:			
$975 + $1,850	$2,825		
$2,202 + $2,713		$4,915	
$2,120 + $3,743			$5,863
Daily cash operating expenses:			
($5,971 − $681) ÷ 365 days	$ 14.5		
($6,142 − $696) ÷ 365 days		$ 14.9	
($5,442 − $676) ÷ 365 days			$ 13.1
Days' cash on hand:			
$2,825 ÷ $14.5 per day	194.8		
$4,915 ÷ $14.9 per day		329.9	
$5,863 ÷ $13.1 per day			447.6

As can be seen, eBay's days' cash on hand varied from a high of 447.6 days in Year 1 to a low of 194.8 days in Year 3. However, the days' cash on hand exceeds 194 days for all three years. Thus, the change in days' cash on hand is not a concern. This high number of days suggests that a catastrophic event would not threaten eBay's survival. eBay appears to have sufficient liquidity to support operations and business growth.

Make a Decision

Days' Cash on Hand

Analyze and compare Amazon.com **to Netflix (**MAD 7-1**) (Continuing company analysis)**

Analyze and compare J. C. Penney and Macy's (MAD 7-2 **)**

Analyze Apache Corporation (MAD 7-3 **)**

Analyze and compare Restaurant Brands and Dunkin' Brands (MAD 7-4 **)**

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